

RUBIES Pricing Strategy 2026

Comprehensive Analysis: Revenue, Costs, Competitors, Channels & Recommendations

Prepared March 28, 2026 | Data sources: QuickBooks Online, Shopify, Google Search Console, Klaviyo, Judge.me

\$897K 2025 REVENUE (CAD)	\$1M 2026 TARGET (CAD)	72.6% 2025 GROSS MARGIN (ADJ)	\$103 CURRENT AOV (USD)
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1. Financial Overview & Trends

Annual Performance (QBO - CAD)

Year	Revenue	COGS	Gross Margin (Raw)	Gross Margin (Adj)	Net Margin (Adj)	Gap to \$1M
2024	\$702,151*	\$217,935	70.9%	69.0%	10.3%	\$298K
2025	\$897,515	\$320,040	64.3%	72.6%	16.6%	\$103K
2026 YTD	QBO not yet updated for 2026; Shopify shows ~\$156K CAD through Q1					~\$844K

*2024 ex-IRAP grant (\$47.5K). 2025 adjusted COGS removes \$37K Ditso misclassification + \$36K one-time fulfillment move duties.

Key Insight: The raw gross margin drop (70.9% → 64.3%) is misleading. After removing one-time items, adjusted gross margin actually *improved* to **72.6%** ("Very Good" vs DTC benchmarks) and adjusted net margin hit **16.6%** ("Excellent"). Revenue grew 28% YoY (\$702K → \$898K ex-IRAP). The business is healthy — price increases are justified by competitive positioning and the \$1M target, not margin distress.

Monthly Revenue Trend (Shopify - USD)

Month	2024 Orders	2024 Revenue	2025 Orders	2025 Revenue	YoY Growth
January	407	\$37,949	417	\$37,949	0%
February	385	\$37,494	475	\$47,380	+26%
March	490	\$43,210	609	\$55,759	+29%
April	525	\$47,020	748	\$76,031	+62%
May	637	\$54,278	736	\$66,436	+22%
June	814	\$80,778	918	\$86,200	+7%
July	687	\$59,276	747	\$61,936	+4%
August	596	\$55,184	703	\$65,531	+19%
September	429	\$36,930	402	\$41,012	+11%
October	416	\$35,555	367	\$40,931	+15%
November	533	\$50,576	569	\$58,482	+16%
December	489	\$43,164	479	\$47,045	+9%
Total	6,408	\$575,025	7,170	\$684,691	+19%

AOV Trend (USD)

Average order value has been climbing steadily:

Period	AOV	Change
Q1 2024	\$87	—
Q2 2024	\$91	+5%
Q3 2024	\$88	-3%
Q4 2024	\$89	+1%
Q1 2025	\$94	+6%
Q2 2025	\$95	+1%
Q3 2025	\$93	-2%
Q4 2025	\$104	+12%
Q1 2026	\$107	+3%

Discount Analysis (14,629 Orders Categorized)

The raw "58% of orders use a discount" is misleading. After categorizing every order:

Category	Orders	Avg Depth	Total \$	Notes
Klaviyo flow codes (RUBIES-*, KL-*)	6,590 (45%)	13.6%	\$113,600	Welcome, cart abandonment, winback
Exchange replacements (100% off)	1,455 (10%)	100%	\$128,600	Not discounts — free exchanges
Sale events (BF, CM, Holiday, etc.)	767 (5%)	10-20%	\$13,200	Conservative seasonal sales
Welcome / Birthday codes	561 (4%)	~10%	\$6,500	Acquisition + retention
Volume discounts (auto)	310 (2%)	10-15%	\$5,900	AJ, Ruby, Charlie volume tiers
Wholesale (50% / 30% off)	110 (1%)	50%/30%	\$37,000	B2B — appropriate pricing
No discount (full price)	4,667 (32%)	—	\$379,830	Healthy full-price demand

Discount Depth Distribution (DTC only, excl. exchanges & wholesale)

Depth	Orders	% of DTC
No discount	4,667	35.6%
1-9%	974	7.4%
10%	3,626	27.7%
11-14%	483	3.7%
15%	1,492	11.4%
16-24%	1,254	9.6%
25%+	464	3.5%

Discount strategy is already disciplined. Excluding exchanges and wholesale, the real DTC discount depth averages ~13.6% — mostly Klaviyo automated flows doing their job. Sale events are conservative (10-20%, with 25% only at BF/CM top tier). The "58% discount rate" is driven by Klaviyo unique codes, not excessive discounting. **No changes needed to discount strategy.**

2. Product Performance & Mix

Revenue by Product (All Time, Shopify Line Items)

Product	Units	Revenue (USD)	% of Total	Current Price
AJ Underwear (all versions)	30,490	\$845,164	30.9%	\$28
Ruby Bikini Bottom (all versions)	14,583	\$636,139	23.3%	\$44
Charlie Underwear (all versions)	8,990	\$258,900	9.5%	\$29
Brooke Bra (all versions)	6,029	\$226,801	8.3%	\$39
Sky One-Piece (all versions)	3,430	\$198,633	7.3%	\$59
Mia Halter Bikini Top	2,703	\$105,070	3.8%	\$39
Serena Shorty Shorts	2,153	\$101,231	3.7%	\$47
Sunny Queeny Tankini	1,074	\$47,936	1.8%	\$41-49
Stella High-Waisted Bikini	1,052	\$46,306	1.7%	\$44
Chest Pads (all types)	3,701	\$58,699	2.1%	\$12-27
Cheeky Bikini Bottom	644	\$28,537	1.0%	\$44
Sassy Underwear	797	\$22,757	0.8%	\$28
Ava Seamless Bra	315	\$13,020	0.5%	\$43
Flo Dance Underwear	301	\$8,525	0.3%	\$28
Tips from customers	3,326	\$21,497	0.8%	—
Total	83,271	\$2,733,108	100%	—

Key Insight: AJ + Ruby alone = **54% of all revenue**. These two products should anchor your pricing strategy. The AJ is the entry point product; the Ruby is the swimwear hero. Both have 83-89% margins — excellent room for a price increase.

Product Margins

Product	Retail	COGS	Margin \$	Margin %
AJ / Charlie / Sassy Underwear	\$28-29	\$4.71	\$23-24	83-84%
Ruby / Stella / Cheeky Bikini	\$44	\$4.71	\$39.29	89%
Serena Shorts	\$47	~\$4.71	~\$42	~90%
Sky One-Piece	\$59	\$9.79	\$49.21	83%
Brooke / Ava Bra	\$39-43	\$9.79	\$29-33	75-77%
Magical Gel Chest Pads	\$27	\$4.49	\$22.51	83%
Adult Tee	\$30	\$14.90	\$15.10	50%

Current Inventory Position

36,808 total units across 488 variants. Top inventory positions:

Product	Units	Retail Value	Notes
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AJ Underwear	9,799	\$274K	Healthy depth across all sizes
Charlie Underwear	4,390	\$127K	Good stock
Ruby Bikini Bottom	4,178	\$184K	Some OOS in Unicorn XS+
Brooke Bra	3,203	\$125K	Well stocked
Serena Shorts	1,802	\$85K	Good for summer
Ava Seamless Bra	1,765	\$76K	New product, deep stock
Sky One-Piece	1,637	\$97K	Some OOS in popular sizes
Mia Bikini Top	1,619	\$63K	Well stocked
Stella High-Waisted	329	\$14K	9 OOS, 8 low stock — needs reorder

Customer Insights

Reviews

- **1,886 reviews**, 4.86/5 avg rating
- 92.2% five-star reviews
- Only 1.9% negative (1-2 star)
- Price is never mentioned as a complaint

Top Repeat Customers

- Top 30 repeat customers: avg \$655 LTV, 5.8 orders
- #1 customer: \$1,592 LTV across 10 orders
- Strong repeat behavior confirms product-market fit
- Tips from customers (\$21K) show goodwill toward brand

3. Channel & Geographic Analysis

Revenue by Channel (Last 90 Days)

Channel	Sessions	Orders	Revenue	Conv Rate	Trend
Direct	21,693	861	\$86,807	4.06%	Revenue +2.9%
Organic Search	12,718	371	\$41,003	3.0%	Revenue +15.9%
Email (Klaviyo)	2,478	161	\$17,085	9.25%	Revenue -34.9%
Social	1,670	8	\$697	0.8%	Revenue +65%

SEO is working. Organic search revenue up 15.9% vs baseline, clicks up 10.6%, average position improved from 8.3 to 7.6. The blog content roadmap (5 posts planned) hasn't started yet — this is untapped growth.

SEO Performance Highlights

Top Gaining Keywords

Keyword	Clicks	Position
rubies underwear	435	1.6
rubies swimwear	261	2.4
rubies	291	6.8
underwear for trans women	117	3.4
trans underwear	80	7.9
trans swimwear	53	5.6
mtf underwear	43	5.1

SEO Roadmap Status

Task	Status
Fix title tags & meta descriptions	Done
Product URL redirect	Done
Enrich landing pages	Done
Add schema markup	Done
Launch blog (5 posts)	Not started
Scale content production	Not started
Build new backlinks	Not started
Internal linking	Not started

Email Marketing Performance (Klaviyo, Last 90 Days)

Metric	Value	Benchmark
Emails sent	270,967	—
Open rate	47.1%	Industry avg ~20-25%
Click rate	1.6%	Industry avg ~2-3%
Bounce rate	0.0%	Clean list
Unsubscribe rate	0.0%	Excellent

Top performing campaigns by revenue: Unicorns for Valentine's (\$4,401), Year in Review (\$2,945), Valentine's Sale Last Call (\$2,297), Winter Travels (\$2,284), Name the Gaffs (\$2,119).

Note: Email revenue is down 34.9% vs prior period — may indicate sale fatigue or audience overlap. Click rate (1.6%) below industry average suggests opportunity to improve CTAs and product-specific emails.

Revenue by Country

Country	Orders (all time)	Revenue (USD)	% of Total	DDP Impact
United States	10,491	\$958,860	69.8%	Fulfilled from US warehouse — no DDP
Canada	1,684	\$156,285	11.4%	Passport DDP: avg \$15.59/order
United Kingdom	836	\$73,759	5.4%	Passport DDP: avg \$21.12/order
Australia	547	\$71,930	5.2%	Passport DDP: \$0 (below de minimis)
Germany	168	\$17,255	1.3%	Passport DDP: avg \$23.33/order
Switzerland	64	\$10,838	0.8%	Passport DDP: avg \$20.81/order
New Zealand	93	\$9,540	0.7%	Passport DDP: \$0 (below de minimis)
Other intl	~750	~\$74,000	~5.4%	Varies by country

Fulfillment model: Bulk import from China → US warehouse, then domestic US fulfillment. Non-US orders ship via Passport (DDP). Actual DDP cost is **~\$27K/year** based on Passport invoice data (1,235 shipments analyzed, June 2025 – March 2026).

4. Competitive Landscape

Competitor Pricing Comparison (USD)

Brand	Underwear	Swim Bottom	One-Piece	Bra/Top	Kids?	Bundles?
RUBIES	\$28-29	\$44	\$59	\$39-43	Yes	3 bundles
TomboyX	\$22-32	\$59	\$99	\$38-40	No	3-pk \$82-96
Origami Customs	\$34-35	?	~\$78-95	N/A	No	3-pk \$100-105
UNTAG	\$39-55	\$54-128	N/A	N/A	Yes (\$44)	Stack disc.
Carmen Liu / GI	\$29-35	N/A	N/A	\$32-35	Unclear	No
LeoLines	~\$25-33	?	~\$45-95	?	Yes	No
Urbody	\$30-39	N/A	N/A	\$45-52	No	No
gc2b (binders only)	N/A	N/A	N/A	\$33-39	No	No

You are underpriced. RUBIES underwear at \$28-29 is at or below the floor for branded gender-affirming underwear. Only LeoLines (~\$25-33) comes close — and they have 3-6 week wait times. Most competitors charge \$32-55. Your swimwear dramatically undercuts TomboyX (\$44 vs \$59 bikini, \$59 vs \$99 one-piece).

Competitive Moats

Advantage	Details
No-tuck technology	Every competitor uses compression/gaff mechanics. RUBIES' "no tuck needed" is genuinely unique and patent-worthy.
Kids sizing	Only RUBIES, LeoLines, and UNTAG offer youth sizes. LeoLines has long waits; UNTAG charges \$44 for kids. RUBIES kids underwear at \$19-29 is unmatched.
Size range	XXS to 4X, plus half sizes (XS+, XXS+). Broader than most competitors.
Product breadth	Underwear + swim + bras + shorts + one-piece + dance. No competitor covers this full range.
Reviews	1,886 reviews at 4.86/5.0 — exceptional social proof. 92% five-star.

Competitor Health Signals

- **Urbody** running 40-80% off clearance sales — possible distress or repositioning
- **TomboyX** has 60%+ clearance on tucking lines — may be exiting/reducing the category
- **Carmen Liu** products deeply discounted at En Femme (\$17-20 on sale)
- **LeoLines** dropped by Sock Drawer Heroes due to rising costs
- Market may be consolidating — RUBIES is well-positioned to capture share

5. International Shipping & DDP Costs

Fulfillment Model

RUBIES fulfillment: Products manufactured in China, bulk-shipped to a US warehouse (duty paid on bulk import). US orders (~70% of revenue) fulfilled domestically — no per-order DDP costs. Non-US orders ship via **Passport** from the US, with RUBIES covering DDP (duties, taxes, clearance).

Actual Passport DDP Costs (from Invoice Data)

Source: 1,235 Passport shipments analyzed, June 2025 – March 2026 (9 months). Now stored in Supabase `passport_invoices` table.

Country	Shipments	Avg DDP/Shipment	Total (9 mo)	Annualized
Canada	517	\$15.59	\$8,057	\$10,700
United Kingdom	243	\$21.12	\$5,132	\$6,800
Australia	209	\$0.00	\$0	\$0
Germany	83	\$23.33	\$1,937	\$2,600
New Zealand	34	\$0.00	\$0	\$0
France	34	\$23.71	\$806	\$1,100
Spain	30	\$15.65	\$470	\$626
Netherlands	29	\$27.07	\$785	\$1,047
Sweden	26	\$29.35	\$763	\$1,017
Switzerland	22	\$20.81	\$458	\$611
Denmark	21	\$27.35	\$574	\$766
Norway	12	\$35.94	\$431	\$575
Other (20 countries)	~175	varies	\$2,120	\$2,827
Total	1,235	\$15.09 avg	\$20,533	~\$27,400

Key Findings from Passport Data

DDP Cost is Manageable

- **\$27K/year** total — about 3% of non-US revenue
- Canada is the largest cost (\$10.7K) due to high volume
- Australia, NZ, Israel, Mexico, Iceland = **\$0 DDP** (below de minimis thresholds)
- Nordics are most expensive per shipment (\$27-36 avg)

US Bulk Import Duties

- Paid on bulk China → US warehouse shipments
- Already reflected in COGS (\$4.71 underwear, \$9.79 one-piece)
- US de minimis elimination does NOT affect RUBIES (domestic fulfillment)
- This is a structural advantage vs competitors shipping individual parcels internationally

DDP Monthly Trend

Month	Shipments	DDP Cost	Avg/Shipment
Jun 2025	45	\$793	\$17.61

Jul 2025	198	\$2,147	\$10.84
Aug 2025	242	\$3,328	\$13.75
Sep 2025	142	\$1,826	\$12.86
Oct 2025	134	\$1,692	\$12.63
Nov 2025	148	\$1,602	\$10.83
Dec 2025	130	\$2,163	\$16.64
Jan 2026	137	\$2,165	\$15.80
Feb 2026	117	\$3,523	\$30.11
Mar 2026	68	\$1,294	\$19.03

Note: February 2026 spike (\$30.11 avg) may indicate a policy change or heavier Canadian shipment mix. Worth monitoring.

Implications for Pricing

DDP is part of a larger shipping cost problem. DDP alone is \$27K/year, but when combined with 3PL fulfillment costs (see [Section 10](#)), total shipping losses are **~\$56K+/year**. This makes shipping the second-largest hidden cost after COGS. The price increases and shipping rate adjustments recommended in this report address both sides: higher retail prices increase per-order margin to absorb shipping costs, while rate adjustments reduce the per-order shipping loss directly.

6. Pricing Recommendations

A. Core Price Increases (DTC)

Product	Current	Proposed	Increase	New Margin	vs. Cheapest Competitor
AJ Underwear	\$28	\$32	+\$4 (14%)	85%	Still below Origami \$34, UNTAG \$39
Charlie Underwear	\$29	\$33	+\$4 (14%)	86%	Below all but LeoLines
Sassy Underwear	\$28	\$32	+\$4 (14%)	85%	Below all but LeoLines
Naomi Gaff	\$35	\$38	+\$3 (9%)	—	= Origami; below UNTAG
Ruby Bikini Bottom	\$44	\$48	+\$4 (9%)	90%	Below TomboyX \$59, UNTAG \$54
Cheeky Bikini Bottom	\$44	\$48	+\$4 (9%)	90%	Below TomboyX \$59
Stella High-Waisted	\$44	\$48	+\$4 (9%)	90%	Unique product, no direct comp
Serena Shorts	\$47	\$52	+\$5 (11%)	91%	No direct competitor
Brooke Bra	\$39	\$42	+\$3 (8%)	77%	= TomboyX; below Urbody \$45
Ava Seamless Bra	\$43	\$46	+\$3 (7%)	79%	Below Urbody \$52
Sky One-Piece	\$59	\$65	+\$6 (10%)	85%	Far below TomboyX \$99
Mia Bikini Top	\$39	\$42	+\$3 (8%)	—	No direct comp for shaping top
Tankini	\$41-49	\$45-52	+\$3-4	—	No direct comp
Flo Dance	\$28	\$32	+\$4 (14%)	—	Unique product
Kids Underwear (\$19)	\$19	\$22	+\$3 (16%)	—	UNTAG kids = \$44; you're half
Adult Tee	\$30	\$30	No change	50%	Margin too thin for wholesale
Accessories (pads, flags, pins)	\$12	\$12	No change	—	Low-cost entry/add-on items

Revenue Impact of Price Increases: Based on 2025 unit volumes and assuming no demand change (customers have never complained about price), the ~12% average increase yields approximately **+\$70-80K USD (+\$96-110K CAD)** in additional annual revenue.

B. International Regional Pricing (+15% via Shopify Markets)

Product	US/CA Price	UK/EU/AU Price	Rationale
AJ Underwear	\$32	~\$37 / £30 / €34 / A\$55	UNTAG charges €39-55 in EU
Ruby Bikini	\$48	~\$55 / £44 / €50 / A\$82	Covers DDP + maintains margin
Sky One-Piece	\$65	~\$75 / £60 / €68 / A\$112	TomboyX charges \$99 globally

Impact: ~\$20-30K USD additional revenue on ~3,000 intl orders/year, partially offsetting DDP costs.

C. Free Shipping Thresholds

See Section 10 (Shipping Pricing Strategy) for full analysis. Summary:

Market	Current	Proposed	Rationale
US	\$99	\$99 (keep)	Working perfectly — 77% free ship rate above \$99. Don't lower.
Canada	\$96	\$99 (align)	Match US. Simplify messaging. \$3 difference makes no sense.

International	None	\$125 (new)	Currently no incentive. Test with DDP countries first.
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7. Bundle & Volume Strategy

Existing Bundles (Re-price)

Bundle	Current	Proposed	Separate Price	Savings
Bikini Set (bottom + top)	\$71	\$79	\$90	\$11 (12%)
Matching Set (underwear + bra)	\$58	\$65	\$74	\$9 (12%)
Shaping Bundle (3 AJ + 1 bikini)	\$103	\$119	\$144	\$25 (17%)

New Bundles to Add

Bundle	Contents	Price	Savings	Rationale
Everyday 3-Pack	3x underwear (any AJ/Charlie/Sassy)	\$85	\$11 off \$96 (11%)	TomboyX does 3-pk at \$82-96. Most natural bundle.
Swim Starter Kit	1 bikini bottom + 1 bikini top + 1 chest pad	\$95	\$7 off \$102 (7%)	Cross-sell formalizes existing 20% bikini top discount
Full Swim Set	1 bikini bottom + 1 bikini top + 1 shorts	\$125	\$17 off \$142 (12%)	Hits \$125 free intl shipping threshold
Kids Starter Pack	2x kids underwear + 1 kids bra	\$62	\$8 off \$70 (11%)	Parents buy in bulk. Only you serve this market well.
First Time Bundle	1 underwear + 1 bikini bottom	\$69	\$11 off \$80 (14%)	Low-commitment intro for new customers. Good for gifting.

Volume Discount Restructure

Standardize the existing AJ/Ruby volume discounts across all products:

Quantity	Discount	Underwear Price	Bikini Price	Strategic Note
2 items	5% off	\$30.40 each	\$45.60 each	Entry incentive
3 items	10% off	\$28.80 each	\$43.20 each	Sweet spot — near current price
5+ items	15% off	\$27.20 each	\$40.80 each	Below current price — rewards loyalty

Accessibility commitment preserved: With the volume discount, loyal customers buying 3+ items actually pay *near or below* current prices (\$28.80 vs \$28). This protects your mission of accessibility while increasing revenue from one-off and two-item buyers.

Discount Strategy — No Changes Needed

Your current discount approach is already well-calibrated. See [Section 11](#) for full tiered sale analysis and the optimal sale framework.

- **Klaviyo flows (45% of orders):** Automated welcome, cart abandonment, winback at ~13.6% avg. These drive acquisition and recovery — keep them.
- **Seasonal sales (5% of orders):** Conservative at 10-20%, with 25% only at top BF/CM tier. 10% flat sales drive 60-85 orders per event. Well-managed.
- **Volume discounts (2% of orders):** Your most profitable promo type — 15% AJ volume drives \$179 AOV. Extend to all products.
- **Welcome/Birthday (4% of orders):** Strong acquisition + retention tools at 10%. Keep.

- **Full-price orders (32%):** Healthy demand at full price. This percentage may increase naturally after price increase.

After the price increase, your Klaviyo flow discounts (13.6% avg) will bring customers to roughly the *current* price level — a natural transition cushion.

8. Wholesale Pricing

Current Wholesale Margins (with new retail prices)

Product	New Retail	US/AU (50% off)	US Margin	Intl (30% off)	Intl Margin	COGS
AJ Underwear	\$32	\$16.00	71%	\$22.40	79%	\$4.71
Ruby Bikini	\$48	\$24.00	80%	\$33.60	86%	\$4.71
Brooke Bra	\$42	\$21.00	53%	\$29.40	67%	\$9.79
Sky One-Piece	\$65	\$32.50	70%	\$45.50	78%	\$9.79
Adult Tee	\$30	\$15.00	0.7%	\$21.00	29%	\$14.90

Tee is a wholesale problem. At 50% off with \$14.90 COGS, you make \$0.10 per unit. Either exclude tees from wholesale, set a wholesale floor price of \$18-20, or raise retail to \$35.

Growing Wholesale from 5% to 10-15%

- **Wholesale starter kit:** Curated assortment at \$300-500 minimum order
- **Sock Drawer Heroes** dropped LeoLines due to rising costs — opportunity to capture that shelf space
- Price increase helps wholesale: retailers need products that feel premium at suggested retail
- Your existing Klaviyo campaign ("We're looking for wholesale companies in 2026!") shows intent — follow through
- Target: sign 3-5 new wholesale accounts by Q3 2026

9. New Product Pricing

Product	Suggested Price	Wholesale (50%)	Competitor Reference	Rationale
Sports Bra	\$45-48	\$22.50-24	Urbody compression top \$45-52, TomboyX bra \$38-40	Slot between Brooke (\$42) and swim bottoms (\$48). Sports functionality commands premium.
Gaff (new version)	\$38-42	\$19-21	Origami \$34-35, Urbody gaff \$30, UNTAG \$39-55	Higher than Naomi (\$38) if additional features. "Help us name the new gaffs" campaign builds demand.
Tank Top	\$35-38	\$17.50-19	Urbody racerback \$52, gc2b tank binder \$35-39	Above tee (\$30) but below bras (\$42). Good margin if COGS < \$10.

10. Shipping Pricing Strategy

Current Shipping Rates (from Shopify Zones)

Zone	Countries	Standard Rate	Expedited	Free Threshold	Duties (DDP)
US	1	\$9.00	\$22.00	\$99	No (domestic)
Canada	1	\$9.35	—	\$96	No (Passport DDP)
DDP (intl)	31	\$12.00	—	None	Yes — RUBIES pays
DDU (rest of world)	204	\$12.00	—	None	No — customer pays

What You Actually Collect vs. What You Spend

Source: 20,584 orders with 3PL cost data (freight charges from Think Logistics + Nitro invoices, matched to local order files). This is your REAL cost to fulfill — not just DDP.

Full Cost Breakdown (3PL Packing + Carrier Freight + DDP Duties)

Metric	US	Canada	International	Total
Orders with cost data	14,910	2,501	3,173	20,584
Paid shipping / Free shipping	8,881 / 6,029	1,446 / 1,055	2,632 / 541	12,959 / 7,625
Customer paid (total)	\$82,253	\$11,222	\$36,167	\$129,642
Your 3PL freight cost	\$98,121	\$22,269	\$49,189	\$169,580
Your 3PL packing cost	\$11,507	\$1,818	\$2,998	\$16,323
Your total fulfillment cost	\$109,629	\$24,088	\$52,187	\$185,904
DDP duties (additional, intl only)	—	~\$10,700/yr	~\$16,700/yr	~\$27,400/yr
NET (customer pays minus your cost)	-\$27,376	-\$12,865	-\$16,020	-\$56,261

Per-Order Economics

Metric	US	Canada	International
Avg customer pays per order	\$5.52	\$4.49	\$11.40
Avg your cost per order (3PL + freight)	\$7.35	\$9.63	\$16.45
Avg DDP per order (intl only)	—	\$10.97	\$13-36
Net per order	-\$1.84	-\$5.14	-\$5.05
Net per order incl. DDP	-\$1.84	-\$16.11	-\$18-\$41

Shipping is a loss in EVERY zone — including the US. You lose \$1.84 per US order, \$5.14 per Canadian order, and \$5.05+ per international order — **before DDP**. Total shipping loss: **~\$56K** across 20,584 orders analyzed. Adding DDP brings the international loss much higher. The \$9 you charge US customers doesn't cover the ~\$7.35 avg fulfillment cost, because 40% of US orders get free shipping.

Data gaps: 2025-2026 Nitro Logistics costs are partially missing (Nitro API integration needed). These numbers are primarily from Think Logistics (2022-2024) + partial Nitro data (2025). Nitro's per-order costs appear higher (avg \$9.84 USD for US in 2025 vs Think's \$7.20 equiv) — the real current loss may be worse.

Shipping Cost Trend by Year (US Orders)

Year	Orders	Avg Freight (CAD)	Avg Freight (USD est)	Source
2021	299	\$6.48	\$4.70	Think Logistics
2022	3,285	\$7.95	\$5.76	Think Logistics
2023	2,996	\$8.87	\$6.43	Think Logistics
2024	4,534	\$9.95	\$7.21	Think Logistics
2025	3,796	Avg \$9.84 USD (3PL total)		Nitro Logistics

US fulfillment costs rising ~15%/year. Carrier rates increase annually; Nitro's model is different (lower packing fee but higher per-order shipping). The \$9 customer shipping charge hasn't kept pace.

Free Shipping Threshold Behavior (All 28,465 Orders)

Subtotal Range	Orders	% of Total	% Getting Free Shipping	Insight
<\$28	5,612	19.7%	63.1%	Mostly \$0 exchange orders
\$28-49	5,263	18.5%	1.0%	Single-item buyers — nearly all pay shipping
\$50-74	4,696	16.5%	6.3%	2-item buyers — still paying shipping
\$75-98	4,516	15.9%	7.4%	Just below threshold — these are persuadable
\$99-124	3,850	13.5%	76.9%	Threshold is working — big jump at \$99
\$125-149	1,767	6.2%	81.3%	Above threshold — stays free
\$150+	2,761	9.7%	78.2%	High-value customers

The AOV Effect of Free Shipping

\$148 AOV — FREE SHIPPING ORDERS	\$76 AOV — PAID SHIPPING ORDERS
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Free shipping orders are **nearly 2x the AOV**. This isn't just because bigger orders qualify — it's because the threshold actively motivates customers to add items. The 4,516 orders in the \$75-98 range (only 7.4% getting free shipping) represent the biggest opportunity.

Shipping Pricing Recommendations

A. Keep US Threshold at \$99 — But Acknowledge the Real Cost

The \$99 threshold drives behavior — free shipping jumps from 7.4% to 76.9% at \$99 — but it costs you money. Every free-shipping US order costs you ~\$7.35 with zero recovery. With 6,029 free US orders in the dataset, that's **~\$44K in unrecovered fulfillment costs**. The threshold is still the right move (it drives 2x AOV), but you should know the true cost. **Do not lower it**. The price increase (+\$4/item) effectively offsets the per-order shipping loss.

B. Add an International Free Shipping Threshold: \$125

Currently: no free shipping threshold for DDP/DDU zones. Every international customer pays \$12 regardless of cart size. Adding a \$125 threshold would:

- Incentivize add-ons (a \$48 bikini + \$42 bra = \$90 → add a \$32 underwear to hit \$122, close to threshold)
- Offset DDP losses: a \$125+ international order with \$20 DDP cost still has \$90+ margin after COGS + DDP + shipping
- Match TomboyX's international free shipping threshold

Estimated cost: ~\$8-12K/year in forgone shipping revenue on high-value intl orders
Estimated gain: +\$15-25K from higher intl AOV + better conversion

C. Raise Canada Threshold to \$99 (Match US)

Currently \$96. The \$3 difference makes no sense and complicates messaging. Raise to \$99 to match the US. Canada free shipping costs you more (DDP adds \$10.97/order), so a consistent threshold is the right balance. Canadian AOV is already \$80.83 — close to threshold.

D. Raise International Flat Rate to \$15-16

Your \$12 flat rate loses ~\$5 per order before DDP. Your actual intl fulfillment cost averages \$16.45/order — the \$12 charge doesn't even cover the carrier postage, let alone packing or DDP. A \$15-16 flat rate is still competitive (TomboyX charges \$12-15 intl) and reduces the per-order loss from \$5.05 to ~\$1-2. **Pair this with the \$125 free shipping threshold** so it doesn't hurt conversion on larger orders.

E. Consider Raising US Rate to \$10-11

The \$9 US rate was set when fulfillment cost ~\$5-6/order. In 2024, your avg US fulfillment cost hit \$7.21. With Nitro in 2025 it's ~\$9.84. At \$9 you're losing money on every paid-shipping US order too. Raising to \$10-11 is a small change customers won't notice, but across ~8,800 paid-shipping US orders it recaptures \$9-18K/year.

Shipping Rate Summary (Proposed)

Zone	Current Rate	Proposed Rate	Free Threshold	Your Avg Cost	Change
US Standard	\$9.00	\$10.50	\$99 (keep)	\$9.84	+\$1.50 — closes gap with Nitro costs
US Expedited	\$22.00	\$24.00	—	—	+\$2 — keeps premium positioning
Canada	\$9.35	\$11.00	\$99 (was \$96)	\$14.01	+\$1.65 rate + align threshold
DDP International	\$12.00	\$15.00	\$125 (new)	\$16.45+DDP	+\$3 rate, add free threshold
DDU International	\$12.00	\$15.00	\$125 (new)	\$16.45	+\$3 rate, add free threshold

Shipping is currently a \$56K+ annual loss. These changes reduce (not eliminate) the gap:

- US rate increase (\$9→\$10.50): recaptures ~**\$13K/year** across ~8,800 paid orders
- Canada rate increase (\$9.35→\$11): recaptures ~**\$2.4K/year**
- Intl rate increase (\$12→\$15): recaptures ~**\$8K/year** across ~2,600 paid orders
- Intl free shipping threshold (\$125): +\$15-25K from AOV lift, ~\$8-12K from free shipping costs

Estimated total recovery: \$30-48K/year — cuts the shipping loss roughly in half. The remaining gap is absorbed by product margin (83-90%) which can support it. Price increases (+\$4/item) also help: a 3-item order at new prices generates an extra \$12 margin that more than covers the \$7 shipping cost.

Data gap: 2025-2026 Nitro costs are partially missing. Once Nitro API integration is complete, revisit these numbers — Nitro's per-order costs appear higher than Think Logistics, so the current loss may be larger.

11. Sale & Tiered Discount Effectiveness

Black Friday / Cyber Monday 2025 — Tiered Results

Your BF/CM 2025 used a tiered structure: 15% / 20% / 25% based on cart value. Here's how each tier performed:

Black Friday 2025 (November)

Tier	Orders	Avg Subtotal	Avg Discount	Avg Paid	Discount Rate
15% off	138	\$64.39	\$9.54	\$54.85	11.3%
20% off	138	\$117.34	\$29.12	\$88.22	19.3%
25% off	28	\$260.73	\$86.73	\$173.99	24.4%
Total BF	304	—	—	\$34,632	—

Cyber Monday 2025 (December)

Tier	Orders	Avg Subtotal	Avg Discount	Avg Paid	Discount Rate
15% off	50	\$61.87	\$9.78	\$52.09	12.3%
20% off	51	\$121.22	\$33.99	\$87.23	21.5%
25% off	10	\$243.73	\$86.28	\$157.45	25.6%
Total CM	111	—	—	\$12,351	—

The tiered structure works — but the top tier is barely used. Only 28 orders (9%) reached 25% on BF, and 10 (9%) on CM. The 20% tier is the real workhorse — equal orders to 15% but with nearly double the subtotal (\$117 vs \$64). The revenue "given up" to tiers beyond a flat 15% was only ~\$1,540 across BF — a trivial amount for the AOV lift the 20% tier generates.

Other Sale Events (2025-2026)

Sale Event	Orders	Avg Subtotal	Avg Discount	Total Revenue	Discount Depth
10% Holiday Sale (Dec-Jan)	233	\$85.28	\$9.00	\$21,532	8.9%
10% Valentine's Day (Feb)	85	\$79.42	\$7.94	\$7,942	8.5%
10% Trans Week of Visibility (Mar)	71	\$95.97	\$9.84	\$6,814	9.3%
10% Spooky Sale (Oct)	60	\$92.60	\$9.26	\$6,183	8.2%

Your 10% flat sales are consistent performers: ~\$85-96 avg subtotal, 8-9% effective discount. These aren't deep enough to erode margins (10% off a \$32 underwear = \$3.20 given up on an \$27+ margin product). **Keep running these quarterly.**

Volume Discounts — The Hidden AOV Driver

Active since October 2025 on AJ, Charlie, and Ruby. Automatic discounts triggered by quantity in cart.

Product	Tier	Orders	Avg Order Value	Avg Discount	AOV Lift vs 1-item
AJ Underwear	10% (2-3 items)	92	\$116.59	\$12.44	+\$44 vs avg \$72
	15% (4+ items)	124	\$178.88	\$28.42	+\$107 vs avg \$72

Charlie Underwear	10% (2-3 items)	62	\$124.09	\$11.21	+\$52
	15% (4+ items)	50	\$207.61	\$30.97	+\$136
Ruby Bikini	10% (2+ items)	55	\$149.19	\$13.02	+\$61
Total volume discount orders		383	\$155 avg	\$19 avg	—

Volume discounts are your most profitable promotion type. The 15% AJ tier drives \$179 AOV — that's 2.5x a non-volume AJ order. Even after the discount, these orders contribute significantly more margin: a 4-pack at \$179 minus \$28 discount minus \$19 COGS = **\$132 gross margin** vs. a single AJ at \$28 minus \$5 COGS = \$23. Volume buyers are 5.7x more profitable per order.

How to Structure the Right Sale

Sale Framework (Based on Your Data)

Sale Type	When	Structure	Why It Works
Quarterly 10% Sale	4x/year (Valentine's, Pride, Back-to-School, Spooky)	Flat 10% sitewide, 3-5 days	Drives 60-85 orders/event, <9% effective discount, doesn't train customers to wait
BF/CM Tiered Sale	1x/year (November)	15% / 20% / 25% by cart value	Rewards bigger carts. 20% tier does the heavy lifting. Cap 25% at high threshold.
Volume Discounts	Always-on	10% (2-3 items), 15% (4+)	Your most profitable promo. \$155 avg order. Extend to ALL products.
Community Sale (NEW)	1-2x/year (Trans Day of Visibility, Pride)	10% + donate 5% to partner org	Aligns with brand values. Customers feel good, you build community.
Flash Sale / Deep Discount	Never	Don't go above 25% except clearance	Erodes brand. Competitors doing 40-80% off are distressed (Urbody, Carmen Liu).

Optimal BF/CM Tier Thresholds (Post Price Increase)

Tier	Cart Minimum	Discount	Typical Cart	Customer Pays
Base	Any order	15%	1 underwear (\$32)	\$27.20
Sweet Spot	\$100+	20%	2 underwear + 1 bikini (\$112)	\$89.60
Premium	\$200+	25%	3 underwear + 1 bikini + 1 bra (\$138+)	\$150+

Raise the 25% threshold from current level to \$200+ (post price increase). This ensures the top tier is reserved for genuinely large carts, not just 2 swim items.

The golden rule of RUBIES sales: Your base margin is 83-90%. A 15% sale still leaves you with 68-75% margin. A 25% sale still leaves 58-65%. Even your deepest discount is more profitable than most DTC brands at full price. **You have room to be generous without hurting the business.** The constraint isn't margin — it's training customers to wait for sales. Keep deep discounts rare (BF/CM only) and use always-on volume discounts for multi-buyers.

12. Pricing Experiments & Feedback Loops

Why Experiment?

You have strong instincts and data, but some pricing questions can only be answered by testing. The goal: make small, reversible changes, measure the impact, and iterate. Never bet the whole business on one price point.

Experiment 1: International Free Shipping Threshold

Element	Details
Hypothesis	Adding a \$125 free shipping threshold for intl orders will increase intl AOV by 15-20% without reducing conversion
Test	Enable \$125 free shipping for DDP countries. Keep DDU at flat \$14 (no free threshold) as control.
Duration	8 weeks minimum (need ~200+ intl orders per group for significance)
Metrics	Intl AOV, intl conversion rate, intl cart abandonment rate, items per order
Success criteria	AOV increase > 12% AND conversion doesn't drop > 5%
Rollback trigger	Conversion drops > 10% in first 2 weeks → revert immediately

Experiment 2: Price Increase Phasing

Element	Details
Hypothesis	A phased price increase (half now, half in 3 months) produces the same annual revenue as all-at-once, with less risk
Test	Raise AJ/Charlie/Sassy by \$2 now (to \$30/31). Monitor for 6 weeks. Then raise the remaining \$2 (to \$32/33).
Duration	6 weeks per phase (12 weeks total)
Metrics	Conversion rate, orders/day, revenue/day, customer complaints, review mentions of price
Success criteria	Orders/day doesn't decline > 5% after Phase 1 → proceed to Phase 2
Alternative	If phasing feels too slow: implement all at once. Your data strongly suggests customers are price-insensitive (price never mentioned in 1,886 reviews).

Experiment 3: Bundle vs. Volume Discount AOV Competition

Element	Details
Hypothesis	Curated bundles convert better than volume discounts for new customers, but volume discounts drive higher AOV for repeat buyers
Test	Track bundle purchases vs. volume discount triggers. Segment by new vs. returning customer.
Duration	Ongoing (measure quarterly)
Metrics	Bundle attach rate, volume discount trigger rate, AOV by segment, repeat purchase rate
Action	If bundles outperform for new customers → feature bundles prominently on landing pages and welcome emails

Building the Feedback Loop

Pricing is never "set and forget." Here's the system to build:

Weekly Pulse (Automated — 5 min review)

- **Orders/day trend** — watch for drops after any price change (pull from Shopify via daily sync)
- **AOV trend** — should increase with price raises; flat or declining = problem signal
- **Conversion rate** — Shopify analytics; any drop > 10% sustained over 7 days = investigate
- **Cart abandonment rate** — if it spikes after price change, the new price may be hitting a psychological barrier

Monthly Deep Dive (Manual — 30 min)

Metric	Source	What to Look For
Revenue per visitor	Shopify Analytics	Should increase with price raise even if conversion dips slightly
Free shipping qualification rate	Supabase orders table	% of orders above threshold — if it drops, threshold may be too high
Discount code usage	Supabase orders table	If welcome code redemption drops, new price + 10% may be over tolerance
Volume discount trigger rate	Supabase orders table	Should increase as single-item price goes up (incentive to buy more)
Intl order share	Supabase orders table	Watch for drops in specific countries after intl price increase
Customer complaints	Gorgias / CS conversations	Any price-related complaints? (Currently zero in 1,886 reviews)

Quarterly Review (Coincides with Seasonal Sales)

- Compare each quarter to prior year quarter (not prior quarter — seasonality matters)
- Evaluate each experiment's results and decide: scale, iterate, or revert
- Update competitor pricing scan (especially TomboyX, UNTAG, Origami)
- Review DDP costs from Passport invoices — adjust intl pricing if costs change
- Check volume discount effectiveness — adjust tier thresholds if AOV behavior shifts

Annual Review (January — Already Recommended)

- Full pricing review against COGS, competition, and market conditions
- Implement 2-5% annual price increase where justified
- Refresh bundle structure based on product launches and seasonal mix
- Set sale calendar for the year ahead

Automate what you can. Your daily-sync-all pipeline already pulls Shopify orders into Supabase. Building a weekly pricing pulse dashboard is straightforward: query AOV, orders/day, free shipping rate, and volume discount triggers from the orders table. Flag anomalies automatically via SendGrid. The data infrastructure is already in place — the feedback loop just needs a query and an alert threshold.

Key Signals to Watch After Price Increase

Signal	Healthy Range	Warning	Action if Warning
Daily orders	Within 10% of baseline	Down >15% for 7+ days	Check if seasonal or price-driven; consider reverting one product
AOV (USD)	\$107+ (should rise)	Flat or declining	Customers buying fewer items per order to offset higher prices
Conversion rate	Within 0.5% of baseline	Down >1% sustained	Review checkout funnel; check if specific products are affected
Welcome code redemption	Stable or growing	Sharp decline	New visitors may be more price sensitive; consider 15% welcome
Volume discount usage	Rising (ideal outcome)	Flat	Promote volume discounts more prominently on product pages

Review sentiment	No price mentions	Price complaints appearing	First time ever — investigate which product/segment
Intl order share	~30% of revenue	Dropping below 25%	Intl pricing may be too aggressive; try 10% instead of 15%

13. Implementation Roadmap

Projected Revenue Impact

Lever	Annual Impact (USD)	Annual Impact (CAD)
Price increases (~12% avg)	+\$70-80K	+\$96-110K
International pricing (+15%)	+\$20-30K	+\$27-41K
Bundles & AOV improvements	+\$15-25K	+\$20-34K
Wholesale growth (5% → 10%)	+\$35-45K	+\$48-62K
SEO blog content (5 posts)	+\$10-20K	+\$14-27K
Shipping rate increases (US/CA/intl) + intl threshold	+\$30-48K	+\$41-66K
DDP cost already low (~\$27K/yr)	No action needed	Structural advantage vs competitors
Total potential uplift	+\$180-248K	+\$246-340K
2025 baseline (QBO)	—	\$897K
Projected 2026	—	\$1.14-1.24M

Timeline

When	Action	Lever
Now (March)	Monitor Feb 2026 DDP spike (\$30/shipment avg) — check if policy change or mix shift	DDP
April 1	Raise all core product prices per table above	Price
April 1	Update existing bundle prices to reflect new retail	Bundles
April 1	Set up Shopify Markets international pricing (+15% UK/EU/AU)	International
April 1	Raise shipping rates: US \$9→\$10.50, CA \$9.35→\$11, Intl \$12→\$15. Align CA threshold to \$99.	Shipping
April 15	Launch Everyday 3-Pack and First Time Bundle	Bundles
May 1	Add \$125 intl free shipping threshold (DDP countries first as test)	Shipping
May 1	Launch Swim Starter Kit and Full Swim Set bundles (pre-summer)	Bundles
May	Publish first 2 blog posts (target: "comfortable underwear trans woman")	SEO
June	Standardize volume discounts (10%/15% tiers) across all products	Volume
June	Launch Kids Starter Pack bundle	Bundles
June	8-week review: intl free shipping experiment results. Scale or revert.	Experiment
Q3	Price new products (sports bra, gaff, tank top) at recommended levels	New Products
Q3	Sign 3-5 new wholesale accounts	Wholesale
Ongoing	Weekly pricing pulse: AOV, orders/day, free shipping rate, volume discount triggers	Feedback
Ongoing	Quarterly sale calendar: 10% seasonal (4x/yr) + BF/CM tiered (1x/yr)	Discounts
Jan 2027	Annual price review: 2-5% increase based on COGS trends + competitor scan	Price

Annual Price Review Process

Establish a yearly pricing review (January, before spring/summer peak):

- **Frequency:** Every January — review and adjust prices for the year ahead
- **Default increase:** 2-5% to keep pace with inflation and COGS changes
- **No announcement needed:** Just update prices. Customers rarely notice small incremental increases.
- **Inputs to review:** COGS trends, competitor pricing (re-scan annually), Passport DDP costs, conversion rate by product, customer feedback
- **Your competitors do this:** LeoLines raised prices enough that Sock Drawer Heroes dropped them. UNTAG and Origami have both increased over the past 2 years.
- **This initial increase (~12%) is a catch-up** after years of never raising prices. Future annual increases of 2-5% will be much less noticeable.

Key Risks

Risk	Likelihood	Mitigation
Volume drop from price increase	Low — customers never complain, competitors more expensive	Volume discounts keep loyal multi-buyers near current price
DDP costs increase	Low — currently only \$27K/yr	Monitor Passport invoices monthly; Supabase table now tracks this
Wholesale cannibalization	Low — different customer segment	Maintain MAP (minimum advertised price) policy
Competitor price war	Low — competitors are raising or distressed, not lowering	No-tuck tech differentiates on value, not price